Predicting market changes

Being able to predict what might happen in the stock market is extremely useful to investors looking to profit from buying financial assets.

How it works

Investors use analysis to try to understand where a company, share, or stock market might be heading. They want to determine whether it is likely to increase in value or whether there are factors that signal an impending fall in price or downward cycle. Investors also need to know how markets and economies are behaving, and how that behavior is likely to affect the performance of other sectors or companies, before deciding to buy shares of companies that they think will do well in the hope of achieving capital growth.

However, prediction techniques are far from foolproof and there is no statistically significant evidence to show that correct predictions are based on anything other than luck.

Predicting the stock market

Accurate market analysis and forecasting can help investors buy or sell shares at the right time, invest in the right sectors or geographical regions, and limit their shares' downside while maximizing their potential profit.

Professional traders have developed ways to evaluate the future direction of a company, share, or index. Two approaches are often used: technical analysis and fundamental analysis.